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***June 2015***

***General Letter GL-15-009-B***

***To:*** ***Service Managers (cc Dealer Principals)***

***Subject*** **Warranty Labour Rate Incentive (20% increase)**

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This General Letter is being issued to Dealers to advise the introduction of a Warranty Labour Rate Incentive, which will become effective from July 2015.

The Warranty Labour Rate Incentive will provide a 20% increase to the Dealers warranty labour rate for a 3 month period for Dealers that meet mandatory criteria.

The top 40 Dealers that meet the mandatory criteria will receive the incentive for a 3 month period.

The Scoring Criteria is based around:-

- CPS first service retention (12month/15,000km) improvement
- Service Manager Meeting and Foreperson's Meeting attendance
- DQR and TSR submission
- Warranty non-compliance ratio
- Service Training engagement (Service Manager, Adviser and Technician)
- Service Skills Program participation and achievement

MMAL released details of the program during the Regional Service Manager's meetings held during May 2015.

Full details of mandatory requirements (minimum standards) and key scoring criteria are attached for your reference and action.

A quarterly report will be provided on the SAP Portal as a final measure for Dealers and the overall results will be used to identify the top 40 Dealers (up to) that will receive the incentive.

This incentive will be a great opportunity to drive Service Revenue improvement for those Dealers that strive to achieve!

Good Luck!

Yours sincerely,
Mitsubishi Motors Australia Limited

Neil Dunn
Head of Aftersales and Customer Care

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# 2015FY 20% Warranty Labour Rate Incentive Program

MMAL is please to advise Dealers of the 2015FY 20% Warranty Labour Rate Incentive Program. The program aims to recognise Dealers that are focussed on Dealer performance in areas that improve both Dealer profitability, product knowledge and improve Customer Satisfaction.

**Mandatory Criteria**

A Dealer must meet the following criteria to be eligible to receive the incentive:-

1. The Dealer's CPS Service Retention for the 12month/15,000km capped price service (first retail opportunity) must show a positive improvement for the quarter up to 90% Service Retention. The data used will be the CPS claims received by MMAL.
2. Retail Repair Order (growth) for the quarter will be positive against same quarter last financial year. Data used will be extracted from MVP.
3. Service Manager (or delegate) must attend quarterly Regional Service Manager Meeting (measured from July Meetings).
4. Foreperson must attend foreperson's meeting at least once every 6 months (measured from October).
5. Dealer has at least one Service Adviser that has successfully completed the Advance Service Adviser Training and achievement certificate has been issued.
6. Warranty Non-Compliance % must be below 20% with continuous improvement shown (excludes Dealers below 2.5% non-compliance).

**Scoring Matrix**

The scoring for each quarter will be based on the following:-

| Item | Score Weighting |
|---|---|
| Service CPS Retention & Retail RO Growth | 30% (300 points) |
| Service Training | 30% (300 points) |
| Technical | 20% (200 points) |
| Warranty | 20% (200 points) |

Dealers will be ranked on a quarterly basis and the top 40 Dealers will be awarded a 20% increase of their warranty labour rate for the next quarter.

**Note:**

- The 20% incentive rate will be capped at the Dealers Retail Labour Rate (as recorded in SAP).
- The Retail Labour Rate will be subject to Warranty Audit.

**Award Timing**

The Dealer performance and scoring will be completed each quarter as follows:-

- Quarter 1 result will be scored during July 2015
- Quarter 2 result will be scored during October 2015
- Quarter 3 result will be scored during January 2016
- Quarter 4 result will be scored during April 2016

The 20% Warranty Labour Rate Incentive will take place during:-

- Quarter 1 incentive will be paid from August 2015 to October 2015
- Quarter 2 incentive will be paid from November 2015 to January 2016
- Quarter 3 incentive will be paid from February 2016 to April 2016
- Quarter 4 incentive will be paid from May 2016 to July 2016

Dealer results will be posted for individual Dealers onto the SAP Dealer Portal at the end of each quarter measurement period.

All Enquiries regarding the 20% Warranty Labour Rate Incentive Program should be discussed with your MMAL Service Representative in the first instance.

**Data Sources and Dealer Requirements**
Data used for the final score ranking will be sourced from:-

- SAP
- MVP
- MOTOR
- Service Training Department
- Service Training TNA records
- TSR system
- DQR system
- Warranty system
- Relevant MMAL Departments (as required for points deductions)

Accuracy of data is these systems/areas are the responsibility of the relevant Dealer and “no correspondence” will be entered into regarding final scores and outcomes.

All concerns regarding data should be discussed and raised with your MMAL Service representative in the first instance.

## Points Scoring Matrix

| **Service Retention Target** | | | | | ***Max. 300 points/quarter** |
|---|---|---|---|---|---|
| **CPS Service Retention - 1st Retail Service (12 month/15,000km service)** | | | | | |
| Data from CPS claims submitted | Points | Q1 | Q2 | Q3 | Q4 |
| Over-achieved Dealer CPS Service Retention Target by 10% or above | 120* | 120 | 120 | 120 | 120 |
| Over-achieved Dealer CPS Service Retention Target between 5% to 10% | 60 | 60 | 60 | 60 | 60 |
| Over-achieved Dealer CPS Service Retention Target between 0% to 5% | 30 | 30 | 30 | 30 | 30 |
| **Retail RO Growth (year on year)** | | | | | |
| Data from MVP | Points | Q1 | Q2 | Q3 | Q4 |
| Above 10% growth in retail RO count | 120* | 120 | 120 | 120 | 120 |
| 6.2% to 9.9% growth in retail RO count | 60 | 60 | 60 | 60 | 60 |
| 0% to 6.1% growth in retail RO count | 30 | 30 | 30 | 30 | 30 |
| **Service Manager Meeting Attendance** | | | | | |
| Data from SAP attendance lists | Points | Q1 | Q2 | Q3 | Q4 |
| Service Manager (or Delegate) attends quarterly meeting | 60* | 60 | 60 | 60 | 60 |

| **Service Training Target** | | | | | ***Max. 300 Points/quarter** |
|---|---|---|---|---|---|
| **Service Technician Training Attendance –** Data from SAP and Regional Trainer | Points | Q1 | Q2 | Q3 | Q4 |
| 100% of YTD Training Days Target (or higher) achieved | 150* | 150 | 150 | 150 | 150 |
| 90% to 99.9% of YTD Training Days Target (or higher) achieved | 75 | 75 | 75 | 75 | 75 |
| 80% to 89.9% of YTD Training Days Target (or higher) achieved | 30 | 30 | 30 | 30 | 30 |
| **2015 Service Skills Program Participation –** Data from SAP and Regional Trainer | Points | Q1 | Q2 | Q3 | Q4 |
| 100% of Service Advisers & Technicians participate in Program Quizzes | 150* | 150 | 150 | NA | NA |
| **Service Adviser Training –** Data from SAP and Regional Trainer | Points | Q1 | Q2 | Q3 | Q4 |
| Minimum of 1 Service Adviser per Dealer completes Advance Training | 75* | NA | NA | 75 | 75 |
| **Service Manager Training –** Data from SAP and Regional Trainer | Points | Q1 | Q2 | Q3 | Q4 |
| Minimum of 1 Service Manager per Dealer completes Service Manager Training | 75* | NA | NA | 75 | 75 |

**Service Technical** ***Max. 200 Points/quarter**

**Service Technical**

| Data compiled by Technical Support and field Service Dept. | Points | Q1 | Q2 | Q3 | Q4 |
|---|---|---|---|---|---|
| Foreperson Meeting Attendance | 200* | 200 | 200 | 200 | 200 |
| DQR Submission (quality/quantity measurement) | | | | | |
| TSR Submission (quality/quantity measurement) | | | | | |

**To be eligible for Service Technical points allocation, Dealer staff must be registered as per General Letter # GL-15-012**

**Warranty** ***Max. 200 Points/quarter**

**Warranty claim non compliance**

| Data compiled by Warranty Department | Points | Q1 | Q2 | Q3 | Q4 |
|---|---|---|---|---|---|
| Below 2.5% non-compliance | 200* | 200 | 200 | 200 | 200 |
| Between 2.5% and 5% non-compliance (with continuous improvement) | 150 | 150 | 150 | 150 | 150 |
| Between 5% and 10% non-compliance (with continuous improvement) | 100 | 100 | 100 | 100 | 100 |
| Between 10% and 15% non-compliance (with continuous improvement) | 75 | 75 | 75 | 75 | 75 |
| Between 15% and 20% non-compliance (with continuous improvement) | 50 | 50 | 50 | 50 | 50 |
| Attend Warranty Meeting (option top up points - maximum 100 points) | 100 | 100 | 100 | 100 | 100 |

**Points can be lost in Warranty each quarter as follows:**

| **Late Submission** | Points | Q1 | Q2 | Q3 | Q4 |
|---|---|---|---|---|---|
| Late submission points deduction (-1 point per claim per day, up to maximum deduction of 200* points) | - 200 | - total | - total | - total | - total |

| **Claim Reversal** | When Reported by "at fault" Dealer | When Reported by other Dealer or MMAL |
|---|---|---|
| VIN Error points deduction | -5 | -10 |
| ODO Error points deduction | -5 | -10 |
| VIN and ODO Error points deduction | -10 | -20 |
| Claim "Not to procedure" points deduction | -5 | -5 |

| **Total claim reversal deductions** | Points | Q1 | Q2 | Q3 | Q4 |
|---|---|---|---|---|---|
| Claim Reversal points deduction (up to maximum deduction of 200* points) | - 200 | - total | - total | - total | - total |

**Note: Warranty deductions will not exceed the maximum 200 points per quarter.**